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TECH

Musk Says Tesla on Track to Meet Model 3 Production Goal

The car company posted a wider loss despite more than doubling revenue

By Tim Higgins

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With just weeks left for Tesla Inc. TSLA -1.71% ▼ to meet his tight production deadline for its first mass-market vehicle, Chief Executive Elon Musk sounded confident the goal will be met.

Mr. Musk said Wednesday in a quarterly letter to shareholders that Tesla is on track to begin production of the Model 3 sedan in July in what will be a critical test for the company to shift from a niche luxury brand to a mainstream auto maker.

Buyer enthusiasm for the \$35,000 electric car is mounting, and investors are pouring into Tesla as Wall Street sours on traditional auto makers, fearing their swelling inventories are a prelude to a cyclical downturn after seven consecutive years of robust U.S. sales. Tuesday was just another reminder as General Motors Co. joined Ford Motor Co. and other car companies in reporting disappointing U.S. sales results for April, the fourth consecutive month of year-over-year of declines.

Tesla, which is coming off its best quarterly sales period, is helping fuel the belief that Silicon Valley can revive lagging interest in car buying, igniting imaginations about a future where vehicles drive themselves. At stake is a U.S. auto industry that generates some \$2 trillion in annual revenue.

“Model 3 vehicle development is nearly complete as we approach the start of

production,” Mr. Musk wrote in the letter. “Preparations at our production facilities are on track to support the ramp of Model 3 production to 5,000 vehicles per week at some point in 2017, and to 10,000 vehicles per week at some point in 2018.”

Shares of Tesla have risen this year by 50%, pushing its market value to greater heights than both GM and Ford, the two largest U.S. auto makers by sales. Tesla currently owns the market-value crown despite the fact the company sells a fraction of 10 million vehicles GM sold last year, is deeply in debt and has never turned an annual profit.

“We don’t think earnings matters,” Brian Johnson, an analyst with Barclays, advised clients in a note Wednesday ahead of Tesla reporting. “...The stock seems so disconnected from any form of fundamentals, and right now is purely driven by momentum—making earnings less relevant.”

Tesla continued its unprofitable ways during the first three months of the year despite more than doubling revenue to \$2.7 billion. The company said Wednesday its loss attributable to common shareholders widened to \$330 million from \$283 million a year earlier as it moves toward Model 3 production.

On an adjusted basis, the company’s per-share loss of \$1.33 missed the 81-cent-a-share loss predicted by a consensus estimate of analysts surveyed by Thomson Reuters.

Tesla’s automotive business was helped by a 69% increase in the sale of Model S sedans and Model X sport-utility vehicles during the quarter compared with a year earlier. The company delivered about 25,000 vehicles in the January through March period, its best ever and a remarkable change of fortune from a year earlier when Mr. Musk was struggling to work out the kinks in the new Model X SUV, which had been plagued with production and quality issues.

The sales growth puts the company on pace to meet Mr. Musk’s goal of selling 50,000 vehicles in the first half of the year. He aims to begin initial production of the Model 3,

its first mass-market electric sedan, in July with the goal of ramping up production to 5,000 a week during the fourth quarter.

On a call with analysts, Mr. Musk suggested he aims for Tesla to build 100,000 Model X and S vehicles this year, though he gave some wiggle room in the shareholder letter. “Given that we will be ramping Model 3 production so quickly, as we’ve noted before, even a couple-week shift in timing can have a meaningful impact on total deliveries,” Mr. Musk wrote.

Mr. Musk is betting the Model 3, a four-door sedan, will broaden the company’s appeal and help increase production to 500,000 vehicles next year toward a goal of 1 million in 2020. Tesla made about 84,000 vehicles last year.

That 1 million goal is dependent on Tesla bringing out another vehicle, the Model Y, a compact SUV, in late 2019 or 2020, Mr. Musk told analysts.

Hedge-fund manager David Einhorn, a longtime shareholder of GM who has shorted Tesla’s stock, on Wednesday expressed doubt that Tesla will be able to reach a mass market with its Model 3 at a level that would justify its market value. “For the time being, investors remain hypnotized by Tesla’s CEO,” said Mr. Einhorn, the founder of hedge fund Greenlight Capital Inc., on a conference call with his firm’s investors.

To support plans to spend more than \$2 billion ahead of the Model 3 rollout, Mr. Musk worked in the first quarter to shore up a continuing issue for Tesla—its cash balance. During the quarter, Tesla raised \$1.22 billion by issuing new debt and stock.

Tesla spent \$553 million during the period on expenses for the Model 3 and giant battery factory in Nevada, finishing the quarter with \$4 billion in cash, which is the highest amount in its 13-year history.

Mr. Musk received a vote of confidence this year when Tencent Holdings Ltd., China’s most valuable company, revealed it had taken a 5% stake in Tesla.

To prepare for more people driving Tesla cars, Mr. Musk said he plans to add almost 100 retail, delivery and service facilities, a 30% increase. Tesla will also add more mobile repair trucks during this quarter to address customers concerns in the field. Those efforts comes after announcing plans to at least double the number of fast chargers across its network for cars, following complaints about crowded stations.

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Tim Higgins is a business columnist for The Wall Street Journal, frequent contributor to CNBC, and author of books about Apple ("iWar") and Tesla ("Power Play"). He also co-hosts "Bold Names," the Journal's weekly interview podcast with top business leaders. His weekly column focuses on influential companies and their leaders, such as...

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